

Mortgages and Mortgage Insurance

Borrowers can choose from many different mortgage products, but most of those products fall into one of two categories (unless the borrower is getting financing from the seller or some other private source). Mortgage loans are usually either **conventional** or **government** loans, such as those insured by the Federal Housing Administration (FHA) or those guaranteed by the U.S. Department of Veterans Affairs (VA). With a conventional loan, if the loan-to-value (LTV) ratio exceeds the lender's threshold of 75% to 80%, the lender may require the borrower to purchase private mortgage insurance (PMI), though there are some conventional loan products with much lower down payments that don't require PMI.

Loan Term

Borrowers should consider how long they plan to be making mortgage payments when deciding on the loan term. A 30-year mortgage may have a lower monthly payment, but what will happen if the loan term extends beyond the period during which the borrower will have a steady income? Conversely, a couple purchasing a retirement home may prefer a 15-year mortgage in order to have no mortgage payment when they plan on living on a fixed income.

Conventional Loans and Private Mortgage Insurance

PMI protects the portion of a mortgage loan not covered by the down payment. It shields the lender if foreclosure becomes necessary. Lenders figure that if borrowers have more of their own money at stake, they're less likely to default. In addition, the higher the down payment, the less the lender has to get out of the property at a foreclosure sale in order to break even.

PMI Termination

PMI may terminate automatically or at the borrower's request under certain circumstances.

Automatic Termination

The PMI Act of 1998-the Homeowner's Protection Act-requires lenders of loans created after 1998 to automatically cancel PMI when the borrower's equity is scheduled to reach 22% (an LTV of 78%), based on the original value (the lower of the purchase price or appraised value). Borrowers must be current on payments for this to occur.

Borrower-Requested Termination

Borrowers may request that lenders terminate PMI when the principal balance on the loan is scheduled to reach 80% of the home's original value. Borrowers must be current on payments and have a good payment history; they must request the termination in writing and may be required to prove that no junior liens on the property exist. Borrowers may have to provide evidence, such as an appraisal, that the property value meets an 80% LTV.

This process can take several years, of course, because payments are primarily interest in the beginning. If the market is appreciating, however, or if borrowers have made substantial improvements to the property, they may reach this point earlier in their loan term.

Final Termination

If borrowers are current on payments, the lender must terminate PMI one month after the loan reaches the midpoint of its amortization schedule, even if the LTV isn't yet 78%. This is most likely to occur for borrowers who start out with a negatively amortized loan (interest only), some sort of balloon payment, or a balloon mortgage.

FHA Loans and the Mortgage Insurance Premium

FHA financing is popular because borrowers with lower credit scores and smaller down payments (as little as 3.5%) can still get a mortgage loan. The Federal Housing Administration insures loans for lenders that meet certain underwriting criteria. Borrowers must pay a **mortgage insurance premium (MIP)** for the life of the mortgage loan, so it's wise to encourage them to weigh all of their options before deciding which type of loan works best for them.

Borrowers pay a portion of the MIP at closing; the remaining premium is prorated and built into the monthly mortgage payments. FHA doesn't set a maximum sales price or focus solely on borrowers with lower credit scores and smaller down payments. There is a maximum loan amount, however, so borrowers must pay anything above that in cash.

VA Loans

A VA loan is another type of government loan that is strictly available to members and former members of the armed services. VA loans are guaranteed by the U.S. Department of Veterans Affairs. Veterans can pay as little as nothing down, and the VA doesn't allow lenders to require mortgage insurance.